WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SAINT MARTIN

Americas

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Marigot	Capital and administrative centre, where a €38.8 million administrative and judicial complex is under way and Accor is developing the 165-room Whimsy Hotel & Spa, its first MGallery hotel in the Caribbean	Public services, retail, hospitality, real estate
Galisbay–Bienvenue (Port de Saint-Martin)	The territory's commercial port, where a planned extension of about €160 million aims to quadruple container traffic within ten years and to receive cruise ships of up to 200 metres	Port logistics, transshipment, construction, cruise
Grand Case and L'Espérance airport	Regional air gateway that handled 106,982 passengers in 2025, 4% above 2019, and the island's best-known dining destination	Aviation, regional connectivity, restaurants, tourism
Orient Bay and the east coast	Leading beach and resort area of the French side, supporting the growth in visitors staying overnight	Hotels, villa rentals, leisure, water sports
Sandy Ground, Baie Nettlé and the Simpson Bay lagoon	Residential and hospitality area on the shared lagoon, where new cultural facilities worth €11.8 million are planned	Hospitality, marine services, community infrastructure
La Savane and Quartier d'Orléans	Growth districts with new schools worth €42.2 million and €24 million and a programme to develop La Savane's road network	Construction, education, housing, public works
Cross-border links with Sint Maarten (Dutch side)	Princess Juliana airport recorded 855,994 arrivals in 2025, and about 75% of the island's imports enter via the Dutch side, giving French-side businesses access to a wider island market	Distribution, aviation-linked services, tourism

INVESTOR ENTRY ROUTES

- Collectivité de Saint-Martin, a French overseas collectivity under article 74 of the Constitution since 2007, which sets its own tax rules and handles business aid, tourism and energy policy
- Local tax autonomy since 2009, with Saint-Martin's own tax code and a general turnover tax (TGCA) of 4% in place of VAT

- National overseas-investment tax support, including the article 244 quater Y tax credit, which has applied to investments in Saint-Martin since May 2022
- EU outermost-region funding for 2021–2027: €58.8 million of ERDF, €20.9 million of ESF and €4.5 million under Interreg Caribbean
- A public-investment pipeline under the €115 million State–Collectivité convergence and transformation contract for 2024–2027, and a 2026 investment budget of €105.4 million
- French and EU legal framework: the euro is the currency, IEDOM acts as the Banque de France's local arm, and there are no capital controls or repatriation restrictions
- Port and energy infrastructure opportunities through the Établissement portuaire de Saint-Martin and the multi-year energy programme (PPE) for 2024–2033

MARKET-ENTRY OBSERVATION

Saint Martin offers investors a euro-denominated French and EU jurisdiction with its own tax autonomy, sharing an 87 km² island and an open border with Dutch Sint Maarten, one of the Caribbean's busiest tourism hubs. The French side has a population of 31,496 and GDP estimated at €550 million (2021), and its recovery since Hurricane Irma is now well advanced: tourist arrivals reached 97.4% of their 2019 level in 2024, Grand Case airport traffic rose a further 2% in 2025, and visitors staying at least one night grew 27% in 2025. Private salaried employment reached 7,696 at end-2024, bank credit outstanding was €484.1 million, and the bad-debt ratio remained low at 2.1%. Public investment is a strong driver, supported by a €115 million convergence contract with the State for 2024–2027, EU funds and a 2026 investment budget of €105.4 million, while the Collectivité returned to a €5.7 million surplus in 2024. Separate FDI statistics are not published, but the Galisbay port extension and new upscale hotel projects point to sustained investor interest.

Saint Martin's main structural challenge is building infrastructure resilient to hurricanes and able to support growth. Hurricane Irma in September 2017 destroyed or severely damaged about 31% of buildings, and the French State has committed more than €500 million to reconstruction since 2018. Electricity remains a priority: generation capacity was 57 MW in 2024 with renewables at about 2%, and engine failures at the power plant since September 2024 have required temporary generators. Mitigation is under way: a €13 million risk-prevention and management centre, flood-prevention studies, a multi-year energy programme for 2024–2033 that provides for a new power plant, and a port extension designed to strengthen self-sufficiency after natural disasters. For investors, the opportunities lie in resilient construction, solar and storage, water and sanitation, port logistics and the upscale tourism market.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Hurricane and climate exposure	Irma destroyed or severely damaged about 31% of buildings in 2017, and sargassum and flooding are recurring concerns	Build to cyclone standards and insure accordingly; the €13 million risk centre and flood-prevention programme open opportunities in resilient construction
Electricity supply and energy transition	Engine failures at the power plant since September 2024 have caused outages, and renewables supply about 2% of electricity	The 2024–2033 energy programme provides for a new plant, creating openings for solar, storage and efficiency investors
Labour market and skills	Unemployment was 28.8% in 2022 and 41% of hiring projects were judged difficult in 2024	Invest in local training and recruitment partnerships; a large available workforce supports labour-intensive service businesses
Competition from the Dutch side	Sint Maarten receives most of the island's tourists, and French-side hotel capacity fell from 1,678 rooms in 2014 to 1,214 in 2022	Position for the upscale and boutique segment, where new projects such as Accor's MGallery hotel show demand for French-side quality
Logistics and living costs	About 75% of imports arrive via the Dutch side and prices were about 12% above mainland France in 2022	The Galisbay extension will rebalance freight flows and support transshipment, lowering supply costs over time
Limited economic statistics	The latest GDP estimate dates from 2021	Rely on IEDOM reports, the Collectivité's

Issue	Potential Impact	Possible Mitigation
	and there is no separate FDI or consumer-price series	services and local advisers for due diligence
Distinct tax and regulatory framework	Saint Martin combines its own tax code with French and EU rules, which can raise compliance costs relative to neighbouring territories	Take local tax and legal advice early; the framework offers a low turnover tax and full EU legal certainty

INVESTOR RISK NOTE

Saint Martin's risk profile is that of a French and EU jurisdiction: legal, currency and transfer risks are low, contracts are enforced under French law, and the euro removes exchange-rate exposure for euro-area investors. Its local tax autonomy offers a distinctive and competitive framework, with a general turnover tax of 4% rather than VAT. The main considerations are physical and structural: exposure to hurricanes, an electricity system under strain since September 2024, high unemployment and limited official statistics. The response has been substantial, with more than €500 million of State reconstruction support since 2018, a €115 million convergence contract for 2024–2027, EU funds and a 2024–2033 energy programme that provides for a new power plant. Since January 2025 the State has been represented by a full prefecture for Saint-Barthélemy and Saint-Martin, and the 23-member Territorial Council, elected for five years in 2022, is due to be renewed in 2027. Investors should build cyclone resilience and energy back-up into project design, take local tax advice and engage early with the Collectivité and the Prefecture.

MARKET ACCESS

As a French overseas collectivity and an outermost region of the European Union since 2009, Saint Martin is part of the EU and uses the euro, while applying its own tax code and remaining outside the EU VAT area. Through France it is covered by WTO membership and EU trade agreements. The island has an open border with Sint Maarten, a constituent country of the Kingdom of the Netherlands, giving French-side businesses access to a combined population of about 75,000 and to Princess Juliana airport, which recorded 855,994 arrivals in 2025, around 63% of them from North America. Grand Case airport provides regional links to Guadeloupe and the other French islands, and ferry links serve Saint-Barthélemy and Anguilla. Trade is oriented towards mainland France and the wider island, with most imports arriving through the Dutch side; the planned Galisbay port extension is designed to rebalance freight flows and develop transshipment across the Lesser Antilles.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Collectivité de Saint-Martin (President Louis Mussington)	Holds tax, business-aid, tourism and energy powers, and manages a €276.3 million budget for 2026 and EU funds	Primary reference point and first point of contact for incentives, permits and public projects
Préfecture de Saint-Barthélemy et de Saint-Martin (Prefect Cyrille Le Vély)	Full prefecture since January 2025, representing the French State and co-financing the convergence contract	Key contact for state policy, security, permitting and state-funded projects
IEDOM (Institut d'émission des départements d'outre-mer)	Acts as the Banque de France's arm in the territory, monitoring credit, banking and economic conditions	Authoritative source of economic and banking-sector intelligence
Établissement portuaire de Saint-Martin (EPSM)	Port authority leading the Galisbay–Bienvenue extension of about €160 million	Counterpart for logistics, transshipment and port-related investment
Chambre consulaire interprofessionnelle de Saint-Martin (CCISM)	Interprofessional chamber representing local businesses, created in 2009 with wider powers since 2014	Practical partner for company set-up and local business networks
Banque des Territoires and Bpifrance	Public investment banks financing infrastructure and businesses, including €3.2 million for the port's logistics platform	Co-financing partners for public-private and business projects

Actor	Why It Matters	Waverley Engagement Angle
EDF Archipel Guadeloupe	Operates Saint Martin's electricity network and is central to the new-plant and renewables agenda	Counterpart for energy, solar and storage partnerships

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Chambre consulaire interprofessionnelle de Saint-Martin (CCISM) is the main channel for business liaison and company formalities, and the Collectivité's Directorate of European Funds and Contractual Policies is the entry point for EU co-financing. Employer and tourism bodies, including MEDEF and the Tourism Club, take part in joint discussions with the Collectivité, the Prefecture and EDF on priorities such as energy. Banque des Territoires and Bpifrance are the principal public financiers for infrastructure and business projects, and IEDOM publishes regular economic analysis, including joint studies of Saint-Martin and Sint Maarten. Cross-border engagement with Sint Maarten's business community and Princess Juliana airport is a valuable source of practical intelligence on the island market.

INVESTOR PROFILE BEST SUITED

Saint Martin suits investors seeking a euro-denominated EU base in the Caribbean with its own competitive tax framework: hotel and leisure developers targeting the upscale and boutique segment as overnight visitor numbers grow; construction and engineering firms positioned for public works under the convergence contract, the port extension and cyclone-resilient rebuilding; renewable-energy, storage and efficiency investors supporting the new energy programme; logistics and distribution firms using the port's transshipment ambitions and the open island market; and water, waste and environmental-services providers. Investors able to work across both sides of the island will find the widest set of opportunities.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Collectivité and the Prefecture
Open dialogue with the Collectivité's economic-development and EU-funds services and with State services to identify priority sectors, sites, permits and co-financing.

STEP 2: Take local tax advice on Saint Martin's own tax code
Confirm the treatment of the 4% TGCA, local direct taxes and eligibility for the article 244 quater Y overseas-investment tax credit before structuring a project.

STEP 3: Position for the public-investment and port pipeline
Track tenders under the 2024–2027 convergence contract, the Collectivité's investment budget and the Galisbay–Bienvenue extension led by the port authority.

STEP 4: Explore energy-transition partnerships
Approach the Collectivité and EDF on solar, storage and efficiency projects linked to the 2024–2033 energy programme and the planned new power plant.

STEP 5: Build cyclone resilience into project design
Use resilient construction standards, insurance and energy back-up from the outset, drawing on the risk-prevention centre and flood-prevention programme.